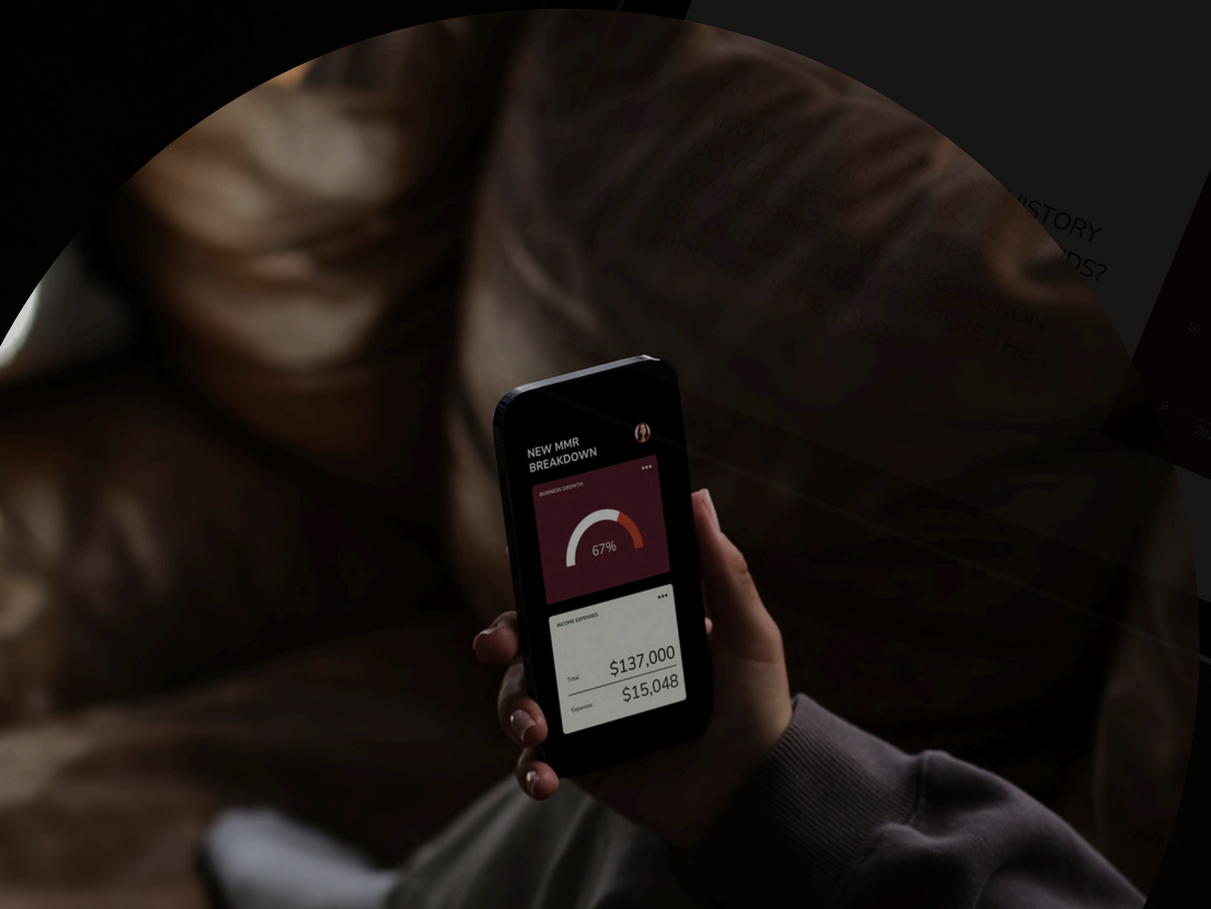
PRESENTATION

PRODUCT CASE STUDY - ANALYSIS

# INSURANCE PURCHASE JOURNEY

YUVAN KARTHIK G

# EXECUTIVE SUMMARY




## THE GENERAL IDEA

### THE ANALYSIS

We're losing **49.4%** of users who start the insurance purchase journey.
That's **247 potential** customers walking away.

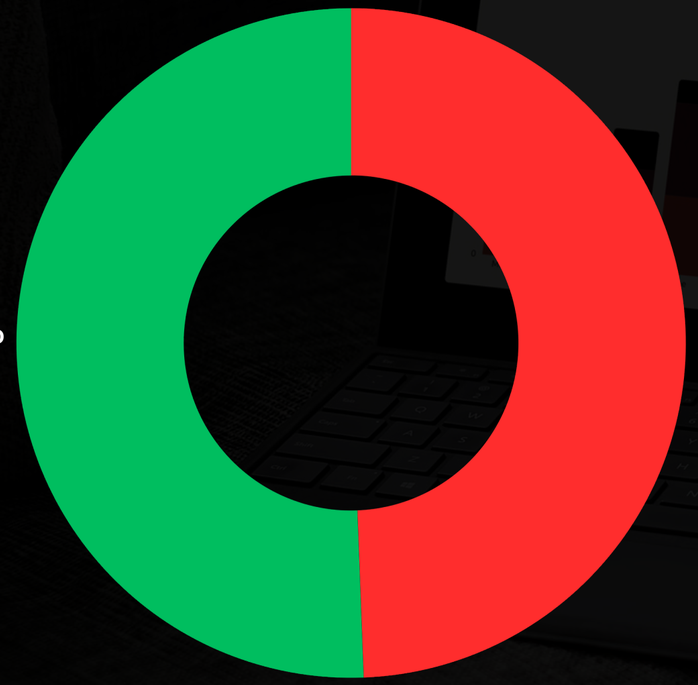
### THE PROBLEM

Payment stage is the biggest leak - **120** users (**48.58%** of drop-offs) exit at payment.
Feedback & Insights confirm possible **cognitive overload**.

### THE SOLUTION

**"Simplifying payment decisions"** to allow fast validation without disrupting pricing or policy.

# PROBLEM STATEMENT



Completed Sign-Up
50.6%

Drop-Offs
49.4%

**253/500**

CURRENT STATE

**500** users entered insurance purchase steps but only **253** completed signup

THE QUESTION

***What's stopping users from completing their insurance purchase, and how do we fix it?***

# DATA CHECK

ONE SOURCE OF TRUTH

SignupCompleted column

**72.0%**

360 of 500 marked completed

DropOffStage column

**50.6%**

253 of 500 with no drop-off stage

**USED IN THIS ANALYSIS**

The two columns disagree on **247 of 500 users**

- 177 are marked **completed** but also have a drop-off stage (84 of them at Payment)
- 70 are marked **not completed** but have no drop-off stage

## WHY DROPOFFSTAGE

- It shows ***where*** users leave, which is the only thing we can act on
- It's the **conservative baseline**. A fix that works against 50.6% will hold up
- Excluded **AbandonTimestamp**: it's one row per hour for all 500 users, with no behavioural signal

*Next step: confirm event definitions with data engineering before launch.*

# FINDINGS

**50.6%**

CONVERSION RATE
**253** of 500 users

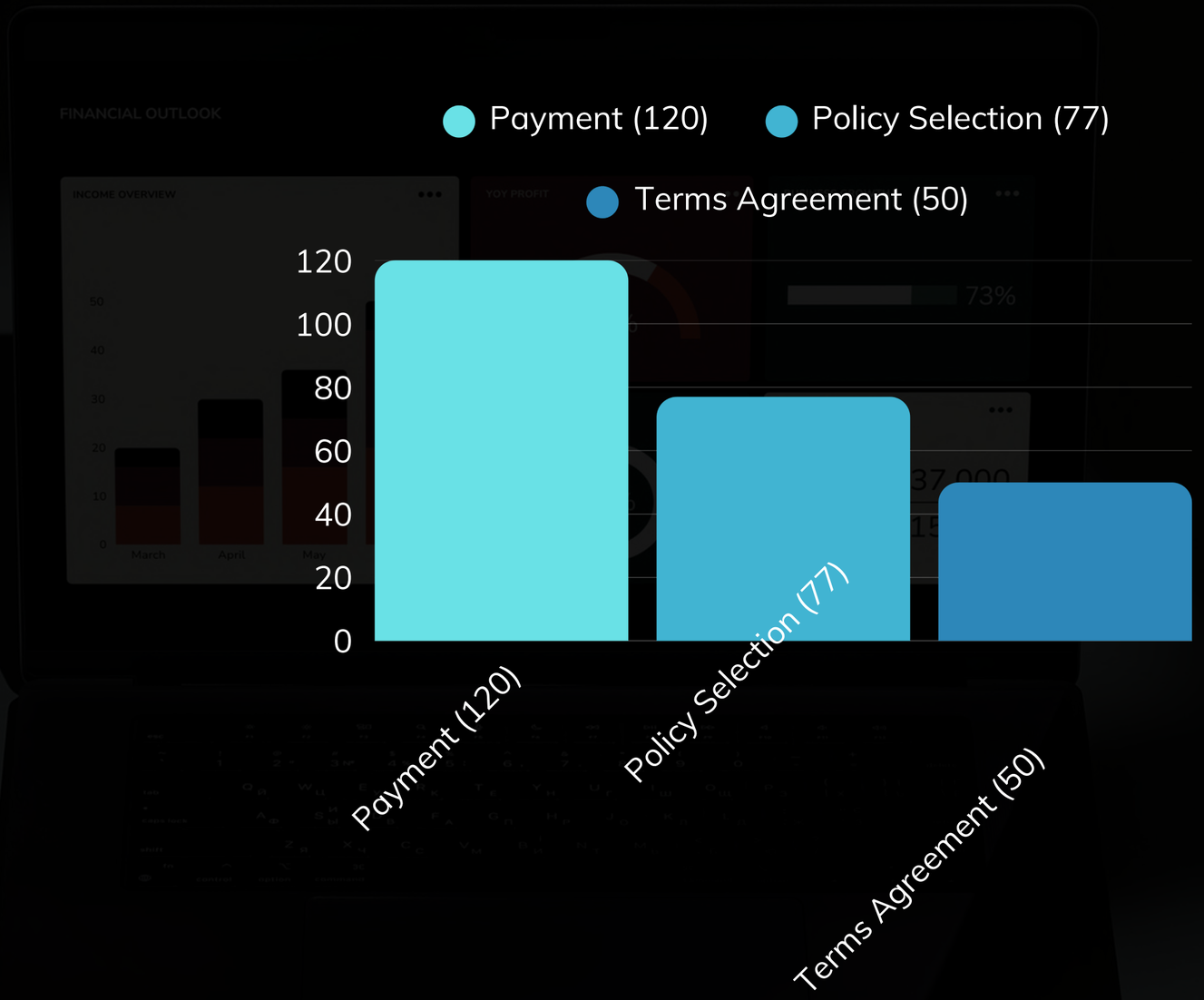
**247**

DROP-OFFS
**49.4%** abandon journey

**120**

PAYMENT STAGE EXITS
**48.58%** of all drop-offs

## WHERE USERS DROP OFF



# FEEDBACK ANALYSIS




## DROP-OFF PAIN POINTS

**32%**

PAYMENT STEP

of users who **reach payment** leave there (15% at Policy Selection, 12% at Terms)

### INSIGHTS

- **120 users** (48.6% of drop-offs) exit at payment
- “Signup too complicated” is the **#1 complaint** (102 mentions)
- Users who contacted support before signup complete less often: **42% vs 53%**
- Most likely root cause: **cognitive overload**. Affordability may add to it but isn't the main driver

# FEEDBACK ANALYSIS - PAYMENT

## PATTERNS POINTING TO COGNITIVE OVERLOAD

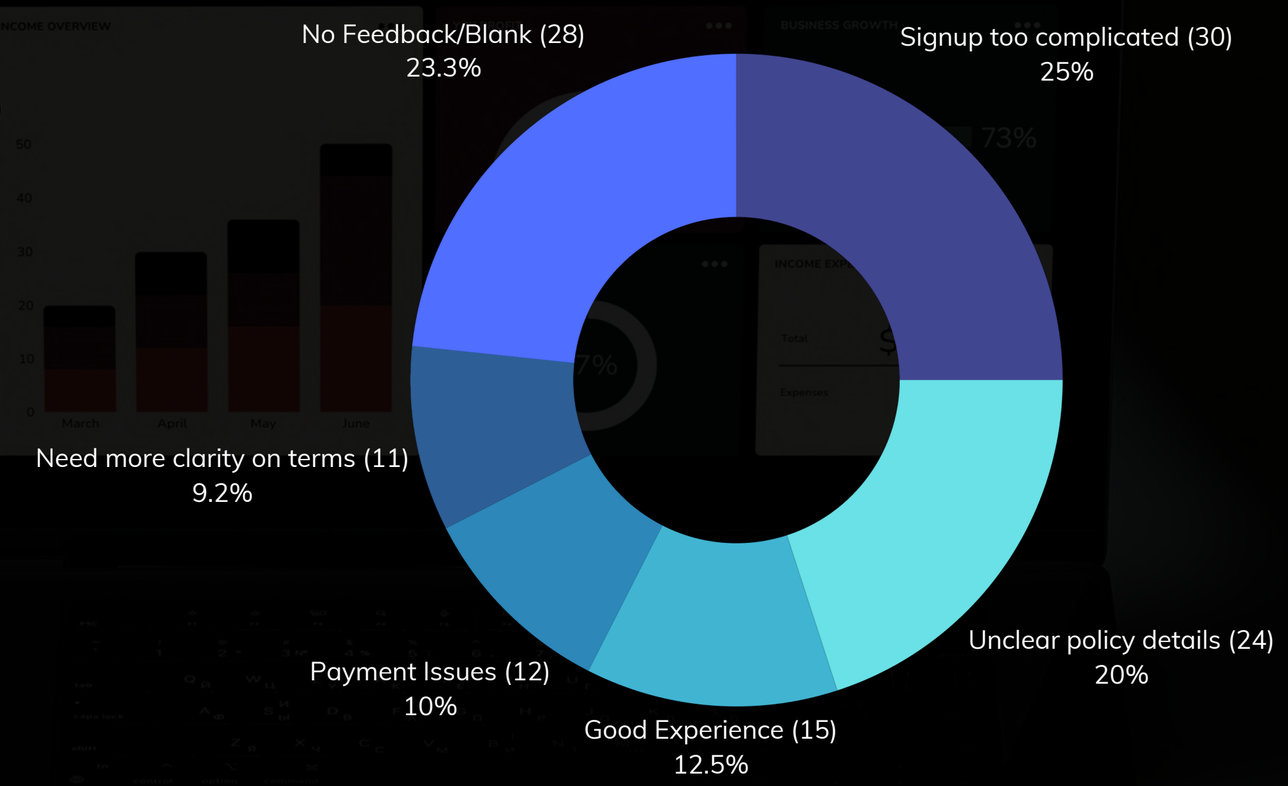
**Analyzing Payment Drop-offs with feedback it was found**

- **Direct complaints:** Only **12** said "Payment issues" (**10%**)

**But looking at the indirect signals:**

- 30 said "Signup too complicated" (**25%**)
  → **complexity at payment**
- 28 gave NO feedback (**23%**)
  → **possible silent exit**
- 24 said "Unclear policy details" (**20%**)
  → **considering other options maybe**

***Total indirect signals:* 54 users (45%)** excl. blanks



# INSIGHTS

DATA-BASED FINDINGS

### 1) PRICE DOESN'T SEPARATE THEM

Avg premium: payment drop-offs **AED 100.85** vs completers **AED 99.76**

Payment drop-offs by salary: **33** in <2000 AED vs **34** in 4000+ AED

Users who reported “Payment issues” reached the end **more** often (58% vs 51%)

→ ***Affordability isn't the main driver***

### 2) NOR DOES INTENT

Avg intent score (1–10):

Completers **5.48**

Payment drop-offs **5.36**

Policy Selection drop-offs **5.97**

→ ***Drop-off isn't about who the user is. It's about what the step asks of them***

### 3) COMPLEXITY OVER-INDEXES

“Signup too complicated”: **25%** of payment drop-offs vs **18%** of completers

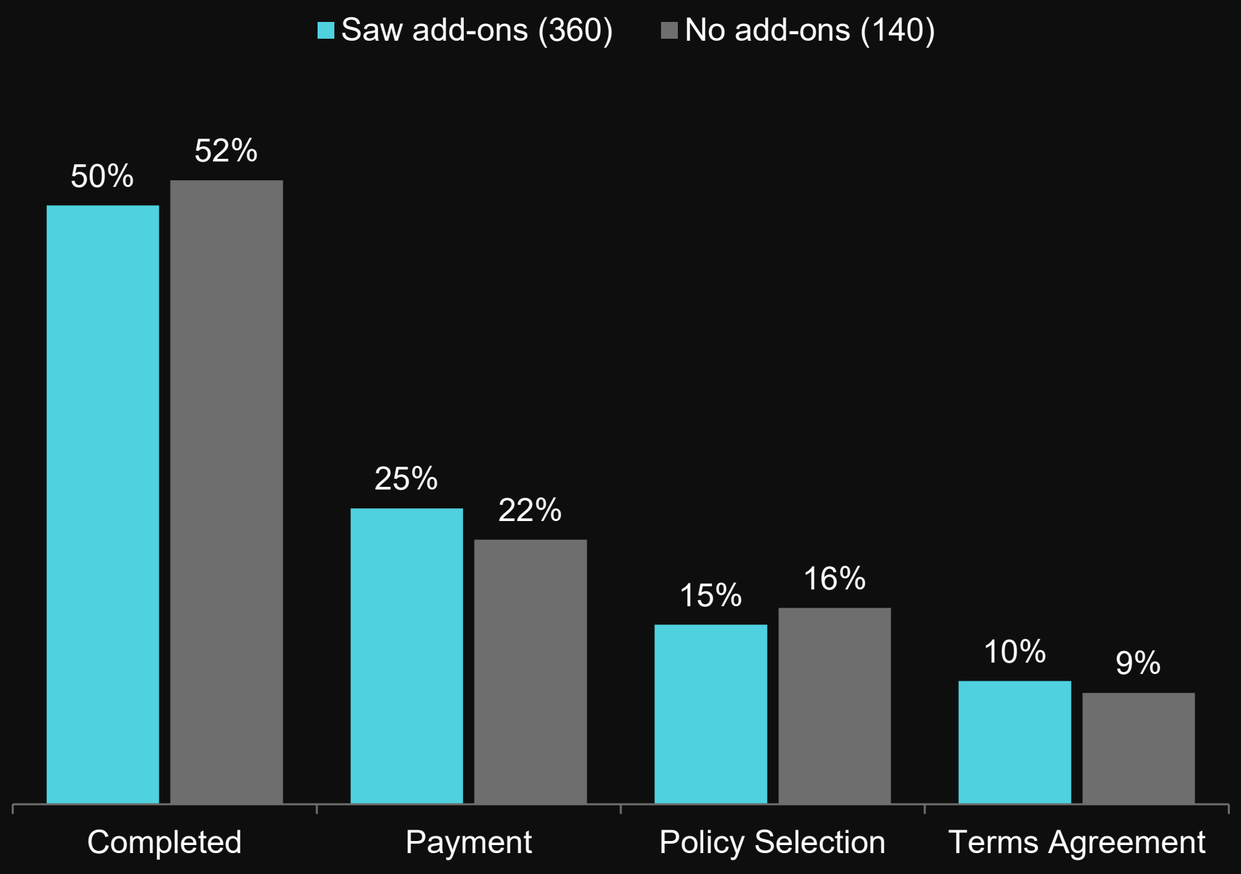
Time in flow: **126s** vs **120s** (+5%). A sign of hesitation, but weak on its own

→ ***Points to cognitive overload at payment***

*Users who leave at payment look like users who buy: same price, salary and intent.* ***The difference is the step, not the person.***

# INSIGHTS - ADD ONS

NOT THE LEVER




*Share of each group ending at each stage. Same shape for both groups.*

## +2.6 pts

higher payment drop rate with add-ons (24.7% vs 22.1%). **Not significant (p ≈ 0.54)**

- 74% of payment drop-offs saw add-ons, but so did **72% of all users** and 71% of completers. That's the base rate, not a signal
- Completion: **50.0%** with add-ons vs **52.1%** without

**So what:** collapsing add-ons is still good hygiene (one fewer decision at payment), but the lift has to come from simplifying the payment step itself. Track add-on attach rate as a guardrail.

# SOLUTION : SIMPLIFYING PAYMENT DECISIONS

WHY IT WORKS

- Payment drop-offs account for 48.6% of all abandonments
- Top feedback at payment: “Signup too complicated”
- Users who leave at payment look like users who buy: same price & salary
- 1 in 3 users who reach payment leave there

WHY THIS WINS

- Targets the highest drop-off stage
- Solves complexity, not just symptoms
- Requires no pricing or policy changes
- Fast to build, easy to test, low risk

## HOW IT WORKS

- Single, clear payment summary with final payable amount
- Optional add-ons hidden by default (progressive disclosure)
- Payment option chosen earlier in the flow pre-selected
- One primary CTA: “Pay & Activate Policy”
- Lightweight reassurance at point of payment

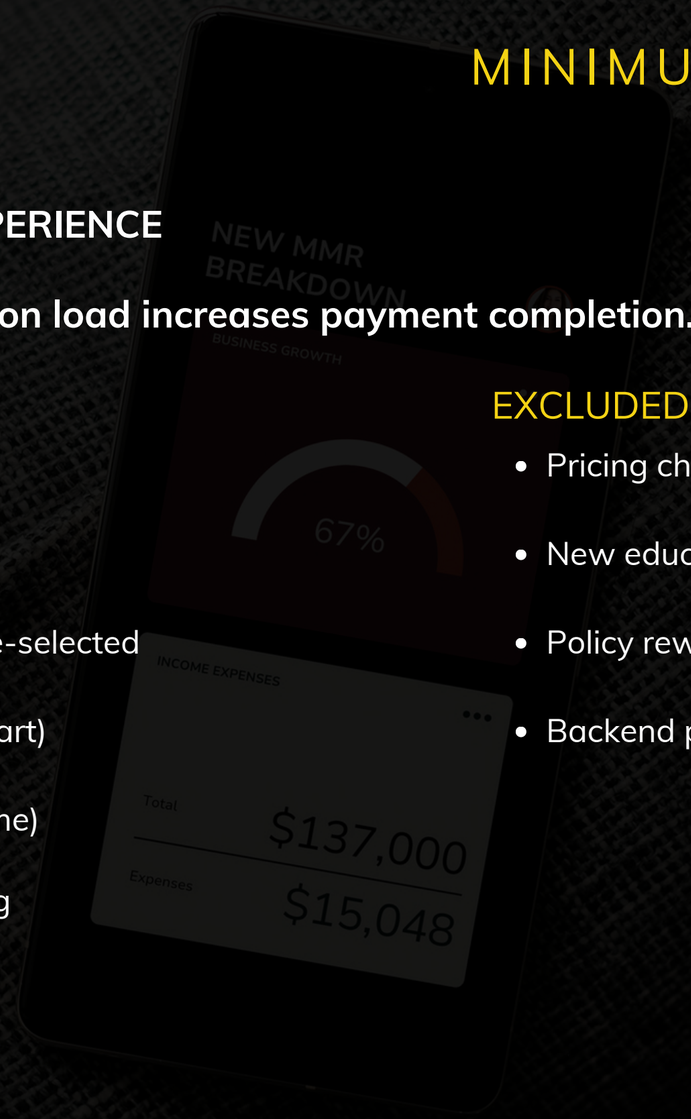
***Users don’t reject insurance, they fail to complete a complex decision at the moment of payment.***

# SOLUTION - MVP

MINIMUM VIABLE PRODUCT

MVP SCOPE : **SIMPLIFIED PAYMENT EXPERIENCE**

GOAL : **Validate whether reducing decision load increases payment completion.**




## INCLUDED

- Collapsed add-ons by default
- Clear cost breakdown (base + optional)
- Payment option chosen earlier in the flow pre-selected
- Inline trust cues (cancel anytime, coverage start)
- Progressive Disclosure (One Decision at a Time)
  → Directly reduces cognitive load
  → Allows users to proceed without rethinking
  → Helps with optional complexity

## EXCLUDED

- Pricing changes
- New education flows
- Policy rework
- Backend payment changes

# LAUNCH STRATEGY

PHASES

## PHASE 1 : SOFT LAUNCH

- **15% of traffic in A/B test**
- (*15% of all users/visits are included in the new version while the remaining 85% continue seeing the old one*)
- Monitor for bugs and user confusion
- Monitor drop-offs, time on page, errors
- Gather qualitative feedback

## PHASE 2 : FEEDBACK & OPTIMIZATION

- Refine and fine tune with feedback
- Improve add-on reveal experience
- Align support team

## PHASE 3 : FULL ROLLOUT

- 100% of eligible users see option
- Monitor weekly improvements
- Prepare for follow-up and improvements like personalization, etc.

# SUCCESS METRICS

MEASURING SUCCESS

## PRIMARY KPI

**Payment-step completion**
paid ÷ reached payment

Baseline: **67.8%** (253 ÷ 373)

Target: **80.7%** (40% fewer payment drop-offs, 120 → 72)

*Test size: ~180 payment-reachers per arm (95% confidence, 80% power)*

## SECONDARY KPIs

- Overall conversion: **50.6% → ~60%**
- “Signup too complicated” among payment drop-offs: **25% → ≤18%**
- Pre-signup support contacts ↓
- Time on payment step ↓ (directional, no hard target)

## GUARDRAILS

*Must not get worse:*

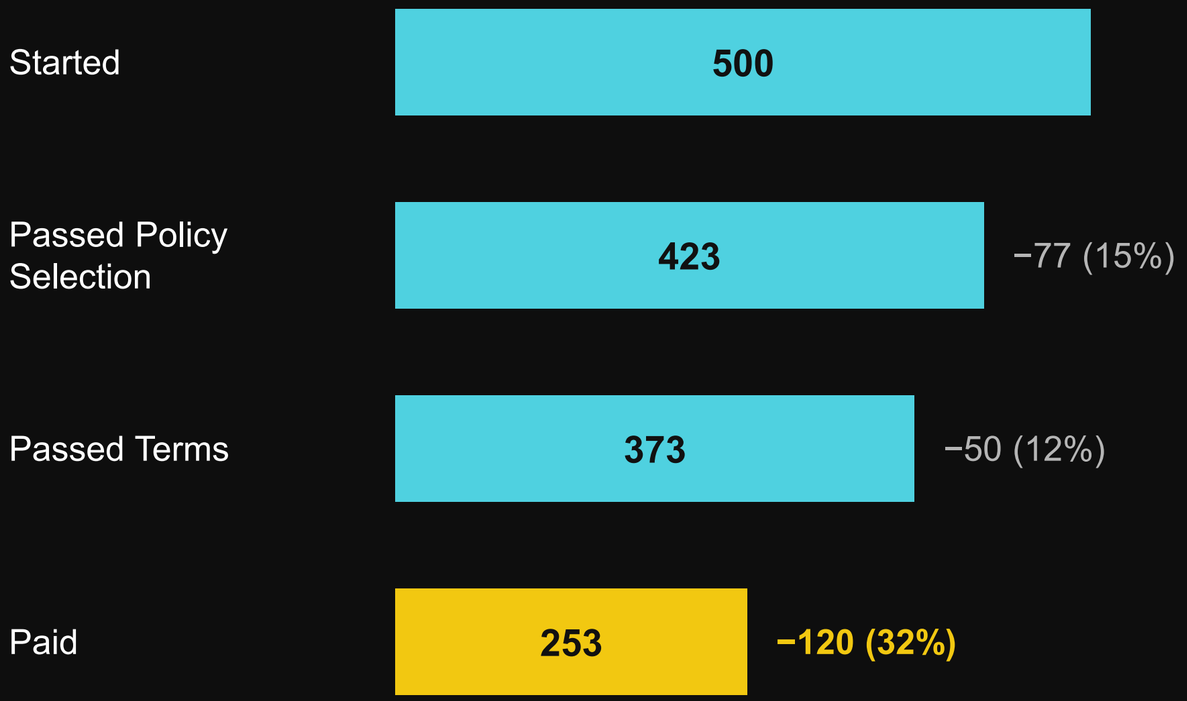
- Add-on attach rate
- Average premium per policy
- Payment failure / retry rate
- Cancellations in the cooling-off period

**Decision rule:** ship if payment-step completion beats control at 95% confidence and no guardrail drops by more than 2 pts. Otherwise iterate in Phase 2.

# IMPACTS

EXPECTED IMPACT

## 1) WHERE USERS ARE TODAY




*Policy Selection (77) and Terms (50) drop-offs not counted: next bets.*

## 2) SCENARIOS (PAYMENT STAGE ONLY)

| Scenario | Fewer payment drop-offs | New policies | Conversion |
|---|---|---|---|
| Conservative | 25% | +30 | 56.6% |
| **Target** | **40%** | **+48** | **60.2%** |
| Stretch | 50% | +60 | 62.6% |

## 3) REVENUE (TARGET CASE)

+48 policies × AED 99.97 avg premium ≈ **+AED 4.8K** in first premium payments per 500 starters

*Recurring value is higher: 57% of users pay monthly or quarterly. I'll size it once payment terms are confirmed.*

# ALTERNATIVE SOLUTIONS

AND WHY I DIDN'T CONSIDER THEM

## 1) DYNAMIC PRICING

***Offer cheaper "basic" plans at payment stage or even reduce pricing***

**Why I didn't choose it:**

- May affect higher sales
- Doesn't address affordability it just shifts the problem
- Complex to explain and makes decision-making harder.

## 2) POLICY COMPARISON TOOL

***Side-by-side comparison at Policy Selection stage which addresses "unclear policy details"***

**Why I didn't choose it:**

- Good idea but targets smaller problem
- Policy Selection drop-offs = 77 users (vs 120 at payment)
- The current solution will have better ROI because it helps solve more than one problem

## 3) INSURANCE SAVINGS POT (PRE-PAYMENT PLAN)

***A user saves weekly in a locked "insurance pot," and after weeks, the policy auto-activates with a gamified progress bar and savings reminders.***

**Why I didn't choose it:**

- Doesn't help if users want coverage NOW, not in 3 weeks
- Affordability isn't the main driver of drop-off
- Delayed benefits are not suitable for insurance
- More complex build (savings account integration)

# CONCLUSION

THE PATH FORWARD

### THE PROBLEM

## 1 in 3

**users who reach payment leave there**

Price, salary and intent don't explain it. Complexity signals do.

### THE SOLUTION

## 1 step

**simpler payment page**

One summary, add-ons collapsed, one CTA, trust cues. No pricing or policy changes.

### THE IMPACT

## ~60%

**conversion, up from 50.6%**

+48 policies per 500 starters (+19% relative), validated by an A/B test before full rollout.

*Users don't reject insurance.* ***They fail to finish a complex decision at the moment of payment.***




# THANK YOU

YUVAN KARTHIK G